

ORIGINAL

( S E R V E D )  
( April 24, 2000 )  
( FEDERAL MARITIME COMMISSION )

**FEDERAL MARITIME COMMISSION**

**WASHINGTON, D.C.**

April 24, 2000

**DOCKET NO. 89-26**

**THE GOVERNMENT OF THE TERRITORY OF GUAM, ET AL.**

**v.**

**SEA-LAND SERVICE, INC. AND  
AMERICAN PRESIDENT LINES, LTD.**

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**RESPONDENT APL'S MOTION TO QUASH  
COMPLAINANTS' DISCOVERY DENIED**

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Respondent American President Lines, Ltd. ("APL") filed a motion that complainants' ("Gov-Guam's") discovery from APL be quashed on the ground of GovGuam's delay in pursuing that discovery.<sup>1</sup>

Proof-of-payment documentation is at the heart of the discovery at issue—i.e., documents purporting to show payment by a particular entity of a respondent's tariff charges to respondent.

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<sup>1</sup>Respondent Sea-Land Service, Inc., by letter dated April 10, 2000, signified its agreement with the relief sought by APL.

APL states that on January 13, 1999, APL provided GovGuam with a package ("APL 1/13/99 Package") of all the purported proof-of-payment documents relating to APL shipments that GovGuam had previously produced to APL in response to APL's discovery requests.

On January 29, 1999, GovGuam delivered to APL a package of the proof-of-payment documentation that they had uncovered upon searching their own files ("GovGuam 1/29/99 Package"). APL states that GovGuam's 1/29/99 Package contained no purported proof-of-payment document that had not been included in the earlier APL 1/13/99 Package.

At informal prehearing conferences on June 14 and July 27, 1999, it was determined that GovGuam should be allowed some additional discovery on proof-of-payment documents. GovGuam and respondents entered into a five-page "Agreement Resolving Disputes Relating to Discovery," dated September 9, 1999, and on September 13, 1999, it was approved.

Under the 9/9/99 Agreement and 9/13/99 Order, the first steps in the discovery schedule were required to be taken by GovGuam. E.g., the Agreement and Order provided that GovGuam would either (1) confirm that they previously produced to respondents all canceled checks available to them applicable to shipments for which they claim reparations or (2) provide copies of any additional canceled checks that were not previously produced. The Agreement specifically referenced APL's 1/13/99 Package, stating that, for purposes of these provisions, that Package defines the universe of checks that had previously been produced to APL by GovGuam. The Agreement and Order also provided that GovGuam would furnish each respondent with a list of shipments as to which GovGuam claims that a canceled check establishes who paid the respondent's tariff charges to the respondent.

On or about March 13, 2000, the Administrative Law Judge informally inquired of counsel for GovGuam as to the status of activity in this proceeding. (The ALJ made similar inquiries of

counsel for respondents.) On March 21, 2000, GovGuam served APL with a spreadsheet in purported compliance with GovGuam's obligations under the 9/9/99 Agreement and 9/13/99 Order ("GovGuam 3/21/00 Spreadsheet," included as Appendix 4 to APL's motion). The 3/21/00 Spreadsheet lists the shipments for which GovGuam claims reparations from APL and identifies those shipments for which GovGuam purports to possess proof-of-payment documents, referencing such documents by check and/or stub number, check date, etc. Copies of the referenced proof-of-payment documents were enclosed with the spreadsheet.

APL states that GovGuam's 3/21/00 Spreadsheet does not identify a single proof-of-payment document that was not included in the 1/13/99 Package that APL had provided to counsel for GovGuam. In addition, the Spreadsheet lists, by bill of lading ("BOL") number, the shipments for which they are claiming reparations from APL, sometimes adding other data appearing on the face of the BOL such as total charges. APL states that a review by AOL's paralegal was sufficient to show that 94 percent of the BOLs listed in GovGuam's 3/21/00 Spreadsheet had been included in the various lists of BOLs that GovGuam previously had produced to APL and/or had been included or referenced by BOL number in APL's 1/13/99 Package.

While the 9/9/99 Agreement and 9/13/99 Order established no time limit in which complainants must complete their tasks, APL states that GovGuam was clearly subject to an implied obligation to proceed with a degree of diligence that was commensurate with: (1) the urgency with which GovGuam had professed a need for discovery in its briefs to the ALJ; (2) the Commission's rule, 46 C.F.R. § 502.201(c); and (3) the tight deadlines that the 9/9/99 Agreement placed on respondents, e.g., the deadlines of 21 days (§ 2b), 35 days (§ 2ci) and 7 days (§ 2cii) applicable to APL (and Sea-Land). APL states that GovGuam's delay of over six months is grossly excessive by reference to these three factors, singly and in combination.

APL states that the bottom line is that, more than six months after the 9/9/99 Agreement and 9/13/99 Order, GovGuam has simply regurgitated the proof-of-payment documents that APL called to their attention 14 months ago, i.e., after all this time, they have come forth with a spreadsheet that does not identify a single proof-of-payment document that was not in the package APL provided them on 1/13/99.

APL contends that this course of conduct was grossly dilatory and patently unreasonable.

APL states that GovGuam must be found to have forfeited the grant of discovery at this stage of the proceeding; that GovGuam should be required, without further discovery, to submit their entire evidentiary case on reparations within 45 days, pursuant to the schedule governing this proceeding, or, in the alternative, if the motion is denied, the order should provide that the due dates in the 9/9/99 Agreement and 9/13/99 Order run from the date of the order denying APL's motion.

GovGuam states that APL's motion to quash must be denied and GovGuam's legal entitlement to responses to their March 15, 1999 discovery requests, as modified by the Agreement and Order of September 13, 1999, must be affirmed.

GovGuam states that the agreement did not have a time limit for GovGuam's response prior to the Presiding Judge's own inquiry; and that respondents have not even argued that they were prejudiced by virtue of GovGuam's actions.

GovGuam states that it made one last attempt to obtain from the shippers the information that GovGuam was entitled to receive from respondents, in order to reduce if possible, the universe of documents required from respondents, and that it resulted in no net change to the universe of documents that remain to be produced by respondents should come as a surprise to no one.

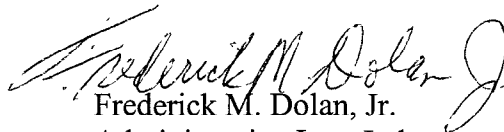
GovGuam urges that respondents be ordered to provide GovGuam with the responses to GovGuam's discovery requests as modified by the 9/9/99 Agreement Resolving Disputes Relating to Discovery, and the 9/13/99 Order Approving the Agreement.

**Discussion and Conclusions**

Since GovGuam has not been shown to have been under any requirement pursuant to the Agreement Resolving Disputes Relating to Discovery of September 9, 1999, and the Order Approving the Agreement of September 13, 1999, or otherwise, which it has contravened, APL's motion, joined in by Sea-Land, must be denied.

IT IS ORDERED:

APL's Motion to Quash Complainants' Discovery in the Reparations Phase is denied, and the due dates in the September 9, 1999 Agreement and September 13, 1999 Order are modified to run from the date of this order.

  
Frederick M. Dolan, Jr.  
Administrative Law Judge